

thorough evaluation of specific situations, and the moral courage to act “in opposition to the crowd” when your judgment tells you you are right.

8. In handling common stocks, as in most other fields of human activity, success greatly depends on a combination of hard work, intelligence, and honesty.

Some of us may be born with a greater or lesser degree of each of these traits than others. However, I believe all of us can “grow” our capabilities in each of these areas if we discipline ourselves and make the effort.

While good fortune will always play some part in managing common stock portfolios, luck tends to even out. Sustained success requires skill and consistent application of sound principles. Within the framework of my eight guidelines, I believe that the future will largely belong to those who, through self-discipline, make the effort to achieve it.